pose in enacting the retaliatory tax—to promote the *interstate* business of domestic insurers by deterring *other States* from enacting discriminatory or excessive taxes—was a legitimate one. 451 U. S., at 668. In contrast, Alabama asks us to approve its purpose of promoting the business of its domestic insurers *in Alabama* by penalizing foreign insurers who also want to do business in the State. Alabama has made no attempt, as California did, to influence the policies of

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promotion of local industry is a valid state purpose under the Commerce Clause. The Commerce Clause, unlike the Equal Protection Clause, is integrally concerned with whether a state purpose implicates local or national interests. The Equal Protection Clause, in contrast, is concerned with whether a state purpose is impermissibly discriminatory; whether the discrimination involves local or other interests is not central to the inquiry to be made. Thus, the fact that promotion of local industry is a legitimate state interest in the Commerce Clause context says nothing about its validity under equal protection analysis. See *infra*, at 880–881.

Moreover, neither *Bacchus* nor *Pike* ruled that a State's ability to promote domestic industry was unlimited, even under the Commerce Clause. Thus, in *Bacchus*, although we observed as a general matter that "a State may enact laws pursuant to its police powers that have the purpose and effect of encouraging domestic industry," 468 U. S., at 271, we held that in so doing, a State may not constitutionally impose a discriminatory burden upon the business of other States, merely to protect and promote local business, *id.*, at 272–273. Accord, *Armco Inc.* v. *Hardesty*, 467 U. S. 638, 642 (1984). Likewise, in *Pike*, the Court held that the state statute promoting a legitimate local interest must "regulat[e] evenhandedly." 397 U. S., at 142.

Other cases cited by the State are simply irrelevant to the legitimacy of promoting local business at all. *Carmichael* relates primarily to the validity of a state unemployment compensation scheme, and *Board of Education* deals with the State's ability to regulate matters relating to probate. *Bowers* is the only one of the State's cases that involves the validity under the Equal Protection Clause of a tax that discriminates on the basis of residence of domestic *versus* foreign corporations. That case does little, however, to support the State's contention that promotion of domestic business is a legitimate state purpose. It was concerned with encouraging nonresidents—who are not competitors of residents—to build warehouses within the State. See *infra*, at 879–880.